

Prof. Heinrich Liechtenstein
Prof. email: hl@iese.edu
Office: E-319 Phone: 504216

Prof. David Frodsham
Prof. email: dfrodsham@iese.edu
Phone: +44 7785234352

Prof. Luis Martín Cabiedes
Prof. email: luis@martincabiedes.com

Assistant: Margarita Kudelina
Assistant email: MKudelina@iese.edu

Venture Capital Investment Competition Courses 1+2

Introduction

VCIC-C is where students get to be VCs. Working in a team of 4 or 5, you participate in a highly interactive simulation of the VC investment process, with your team acting as a VC fund.

Entrepreneurs actively seeking Seed or Series A investment pitch their companies; you analyze each closely before selecting the one most likely to meet your investment objectives; you prepare an investment proposal for an investment committee made up of real VCs, and then negotiate an investment with the actual CEO of the selected company, including investment amount, valuation, and legal terms.

Entrepreneurs from different sectors, growth potential and risk take part; it's up to you to assess their relative merits.

VCS from across Europe participate as guests, to act as your coaches, to provide learning tips from their experience and to judge your performance.

The course concludes with the internal IESE VCIC round, where the complete cycle of entrepreneur pitch, due diligence, preparation of investment thesis and term sheet, presentation to Investment Committee and negotiation with the entrepreneur is compressed into an all-day competition, with a new cohort of entrepreneurs. After the competition, there is an opportunity for 5 or 6 of the best-performing students to represent IESE in the VCIC European Championship and, if successful at that competition, to progress to the Global Finals at UNC Kenan-Flagler Business School in Chapel Hill, North Carolina.

This elective course enables students to apply many of the learnings from the first four terms (from finance to communications, team building to marketing) into the real world, to see how venture investors evaluate investment opportunities, and how they manage to be a minority investor without losing control of their investment. Most importantly perhaps, it is a chance to see how entrepreneurs build their businesses from an early stage, using external institutional equity capital.

Objectives

Venture Capital (VC) is an asset class where qualitative factors such as team and communication (so-called “soft factors”) can have a larger impact on the investment outcome than the financial assessment. VC professionals need a holistic view of all aspects of the investment opportunity, while entrepreneurs need to understand what attracts and detracts investors. VC is a business with intrinsic uncertainty and judgment developed through deal experience is paramount.

Specifically, the course has three main objectives:

- 1. Learn first-hand how to evaluate an early-stage investment from a VC perspective, under time pressure and with patchy information.*
- 2. Understand the VC investment process: how to structure an investment proposal, get buy-in from your VC firm, propose it to a real entrepreneur, explaining and clarifying as needed, and negotiate it either to a successful conclusion or to the point when it’s right to walk away.*
- 3. The chance to participate in, and possibly win, a prestigious global MBA competition against other business schools.*

This is a highly competitive course, delivered at an intense pace. The time requirement before the class days is higher than for other courses. It will not suffice to skim the course material, but detailed and thorough preparation is required.

In addition to those attracted to a career in venture investing, VCIC is invaluable to anyone with entrepreneurial ambitions, learning how to evaluate and make new ventures attractive to investors, and to understand how to enter into an investment agreement with a VC fund.

Content

The course reflects the VCIC competition’s condensed timelines. There are no written cases, only real encounters with entrepreneurs and VCs, with active student participation in almost all sessions. For each of the course’s four main parts...

- Entrepreneur pitching & assessment of the investment opportunity,*
- Due diligence,*
- Term sheet drafting and investment committee approval, and*
- Negotiation with the selected entrepreneur*

... there are technical notes, videos, and background reading to aid throughout.

Evaluation

SE4 (Class participation): 100%

Course Outline & Bibliography

TITLE OF SESSION & MATERIAL

1 20th Jan 2025	Introduction to Venture Capital and VCIC: A Masterclass <u>Focus:</u> The purpose of this class is to ensure the course requirements and timing are understood, to finalise the makeup of the student teams (if and as necessary), to gain an understanding of the way the Venture Capital works and what differentiates a great VC firm. <u>Material:</u> • FN-633-E Venture Capital and VCIC, IESE • Entrepreneurs Report: Wilson Sonsini Goodrich & Rosati • State of European Tech: Atomico and others • Deal Flow 4.0, Orrick • Related videos. <u>Issues:</u> Do you have your team set up yet? • 4-5 members, diverse • Name, branding and presentation is needed for next class Basic understanding of VC industry • Funds, fund life, return targets, Carried Interest • What makes for an 'investable' venture. Keynote from one of Europe's most successful VCs. <u>Deliverables:</u> Friday 17th January, 12:00pm. List of team members - four or five students.
---------------------------------------	--

2&3 22nd Jan 2025	Choose the right company with the best business model <u>Focus:</u> Ahead of the class, the student teams have been formed and the entrepreneur pitch decks have been distributed for each team to study. The teams have each listed in advance which entrepreneur they favour from the information available, and why. In class, each team presents their VC fund to the class in turn, its profile & objectives. Each entrepreneur then pitches their investment case uninterrupted. The class will discuss whether their view about and ranking of the startups have changed following the entrepreneurs' pitches. An analysis of the relative merits of each business takes place, with a professional VC assigned to each team as a mentor. The teams will start compiling the issues to be addressed during due diligence in the following session. The VCs share their tips on best practice on selecting companies to invest in. <u>Material:</u> • Entrepreneurs' pitches • FN-631-E Choosing the right company to invest in, IESE • EN-17-E, Assessing a New Business Opportunity, IESE • VCIC Fund Profile • VCIC Team Term Sheet Deliverables template, page 1, VCIC • Related videos. <u>Issues:</u> • Criteria to assess the potential and investability of a startup • How to analyse the target market (e.g. size, growth), the company's competitive advantage, the quality and completeness of the team • Does the start-up fit your fund? What could be the exit possibilities? • How do you structure the research tasks within the team? • Identify potential "Deal-killers" or concerns. <u>Deliverables:</u> Tuesday 21st January, 12:00 • PowerPoint: team name & fund summary, members & photo • Preferred investment order, with brief explanation behind selecting the company placed in first position
--	--

4&5 23rd Jan 2025	Ask the right questions in Due Diligence with empathy <u>Focus:</u> This class focuses on direct interaction with the entrepreneurs, by each team in turn. The teams each have a timed due diligence session with the entrepreneurs in breakout rooms (each entrepreneur in a separate breakout room), to address any questions that the team deem necessary. There is no limit what can be asked, the focus is on the relevant information to enable the team to decide whether to invest, and what the key terms should be. It is unlikely that the key issues will be answered in a single response and making sure the issue has been answered completely should be a key objective. At the same time, there is competition for the investment, so it's necessary to build a strong rapport with the entrepreneur. There is inadequate time to ask all the questions, so focus on the most important and don't waste time. <u>Material:</u> • Entrepreneurs' pitches; your research. • FN-632-E Ask the Right Questions ... During Due Diligence, IESE. • Related videos. <u>Issues:</u> • Does the entrepreneur have the right mindset? • Are they knowledgeable about the business and market? • Are there any issues that might discourage investors? • Can you build rapport with the entrepreneur? Deliverable to be handed in before class: • None, but good preparation of the issues, questions and team dynamic are indispensable.
--	---

6 24th Jan 2025	VC Portfolio Masterclass <u>Focus:</u> Prior to investing in a company, VCs estimate how much investment will be needed across all investment rounds, the potential exit valuation and timing to work out potential returns. They also balance each investment within a portfolio in terms of timing and risk. This forms part of the input to an Investment Committee and their decision-making around investment. Requires analytical & presentation skills. The class will draw on external experts and examine the merits of investing in the chosen entrepreneur. <u>Material:</u> • FN-0040-E Dilution • VCIC Term sheet template, with a focus on the first page. <u>Issues:</u> • How to estimate ownership dilution over multiple rounds • Creating and arguing an investment thesis • Calculating potential returns and investment risk • Presenting the investment opportunity simply, concisely and analytically. Deliverables to be handed in before class: Friday 24th Jan, 11:00 • VCIC Term Sheet page 1 for selected company (Page 2 is not needed at this stage). • Cap table development pre- and post-round and estimated at liquidity event / fund exit
--	---

7 27th Jan 2025	Term sheet Masterclass <u>Focus:</u> Terms for venture investing are variously designed to protect investor downside, give the VC investors certain powers and rights more than their minority holding would normally provide, and to balance the potential rewards between investors, founders, and staff. Terms need to be adjusted and applied to the specific investment opportunity, to reflect the situation, stage and risk. Drawing on professional legal experts, this class focuses on the most important terms and how they should be included and adapted to the specific investment opportunity. By the end of the session, the teams should know which terms are the most relevant and important to focus on for their chosen investment. <u>Material:</u> • FN-634-E Build a Smart Term Sheet and Convince the Investment Committee, IESE • VCIC Term sheet template, with a focus on the second page containing summary investment terms. <u>Issues:</u> • Understanding investment terms, how they work and why they're used • Differentiate between the most important terms, terms which are standard and those that require discussion and negotiation. • How to set sensible negotiation limits on the most important investment terms. Deliverable to be handed in before class: Monday 27th Jan, 10:00 • VCIC Term Sheet page 2 for selected company.
--	---

8&9 30th Jan 2025	Convince Investment Committee of Investment Case & Term sheet <u>Focus:</u> The teams, in turn, attempt to persuade their fund colleagues in the investment Committee (made up of professional VCs) of the merit of the proposed investment, plus the estimated investment return. The terms of the investment (valuation, board and control issues, legal terms etc.) will be presented for comment and approval. The negotiation boundaries are presented: which terms might be varied and what the maximum valuation is and/or the minimum percentage fund ownership. <u>Material:</u> • Your feedback and notes from the Masterclasses • FN-634-E Build a Smart Term Sheet and Convince the Investment Committee, IESE • FN-0040-E Dilution • VCIC Term sheet template, both pages. <u>Issues:</u> • The investment thesis: why your team has selected this company • The anticipated total investment needed over all future rounds, the likely exit timeframe and fund return • The term sheet contains all the important must-have terms, with the specific situation and needs of the company appropriately reflected • The fund is protected against downside and potential reluctance of the entrepreneur in the future to provide a liquidity event • The negotiation boundaries and limits are understood and explained • The term sheet is concise, clear and well written Deliverable to be handed in before class: Wednesday 29th Jan, 12:00 • VCIC investment Term Sheet for selected company, both pages, updated as appropriate based on learnings from the previous classes.
--	--

10&11 31st Jan 2025	Win over the entrepreneur in an intelligent negotiation <u>Focus:</u> Student teams, in turn, present their investment term sheet (page 2 only) to the entrepreneur, explaining the investment and what the fund is looking to achieve, including the key terms. They negotiate with the entrepreneur, with a view to agreeing the investment, or to arrive at a conditional close, or to agree a future milestone, such as further Investment Committee agreement. Students will decide during the negotiation whether to reach an agreement or to walk away. Avoid running out of time without a conclusion of some sort. Time is extremely tight, so it is important to focus on the key terms and to get to some conclusion. Teams are not marked down for walking away from the investment if the terms do not work for the fund. <u>Material</u> • Entrepreneurs' pitches, your research and notes. • FN-635-E Negotiation in the VCIC, IESE. • Related videos. <u>Issues:</u> • Are the terms understandable, and acceptable, to the entrepreneur? • Which changes is the entrepreneur proposing; are they reasonable and how do you respond? • Can you conclude the negotiation with a deal? If not, how best to walk away while maintaining a good relationship with the entrepreneur. Deliverable to be handed in before class: Thursday 30th Jan, 23:59 • VCIC investment Term Sheet for selected company, both pages, updated as appropriate based on learnings from the previous class
--	---

12 3rd Feb 2025	VCIC competition Masterclass <u>Focus:</u> To win the Venture Capital Investment Competition (VCIC) requires skill, knowledge, teamwork and, to be frank, also luck. In each competition: the regional European championships, the first day of the Global championships in the US and the second, final day you compete against well-prepared and high-performing international teams. The focus of this class is to understand, leveraging the experience of others, what mistakes are to be avoided and where to develop an edge. These also apply to real-world VC investing. <u>Material:</u> • FN-636-E Winning the VCIC, IESE <u>Issues:</u> • Selecting the startup to invest in that would most appeal to a professional VC • Understanding the key opportunities and risks, and cover these in adequate detail during due diligence • Presenting an investment case to the Investment Committee in a clear, concise but impactful way, without overly ‘selling’ • Preparing an appropriate, well-written Term Sheet Build confidence with the entrepreneur and guide them through to a successfully negotiated investment, or walk away while maintaining a good relationship. Deliverable to be handed in before class: • None.
--	--

13&14 6th Feb 2025	Getting competition-fit <u>Focus:</u> The day before the competition, the class will focus on the new cohort of startups. Working in breakout rooms with a professional investor assigned to each group, each team will consider the relative merits of each startup, in order to make a provisional decision as to their investability, as well as prepare for the due diligence and other sessions. There will be a discussion in class about what the risks and unknowns are for each investment opportunity. Time is short on competition day, so this is an opportunity as well for the teams to get ready: term sheet templates, due diligence questions etc. <u>Material</u> • Entrepreneurs' pitches, your research and notes. • FN-636-E Winning the VCIC, IESE. • Related videos. <u>Issues:</u> • On the basis of the information available, which appears to be the most attractive investment opportunity? • What do you know and not know about the team, the value proposition, the market and competition? Deliverable to be handed in before class: • None
---	--

15-18	VCIC internal competition <u>Focus:</u> With the new cohort of entrepreneurs, student teams will run through in a single day the entire VCIC cycle: entrepreneur pitching, due diligence, investment committee and negotiations. This is a high-pressure day, with little time between the various sessions. Bring food and drink with you, there may not be time for a lunch break. <u>Material</u> • Entrepreneurs' pitches, distributed a few days in advance. • Related videos. <u>Issues:</u> • How to choose the right company • How to conduct DD • How to present term sheets to an investment committee • How to negotiate term sheets with an entrepreneur. Deliverable to be handed in before class: None.
-------	--

Bibliography

There's a large selection of publications and online sources of information on the venture capital industry. Some books that we would highlight are:

- *How to think like a VC* by Patrick Vernon, UNC Kenan-Flagler Business School (VC Razor).
- *Mastering the VC Game* by Jeffrey Bussgang (Portfolio).
- *The Business of Venture Capital* by Mahendra Ramsinghani (Wiley).
- *Angels, Dragons & Vultures* by Simon Acland (Nicholas Brealey).
- *Venture Deals: Be Smarter Than Your Lawyer and VC* by Brad Feld & Jason Mendelson (Wiley).
- *Getting Between the Balance Sheets* by D. Frodsham and H. Liechtenstein (Palgrave).

The VCIC website also contains helpful information and materials: www.vcic.org

David Frodsham's blog 'Venturing On', where he interviews venture investors about their strategies and entrepreneurs about their journeys, is here: <https://www.linkedin.com/company/venturing-on/>

Professors' Biographies



Heinrich Liechtenstein

Professor of Financial Management

Doctor of Business and Economic Sciences, University of Vienna
MBA, IESE, University of Navarra
Degree in Business and Economic Sciences, University of Graz
Certified European Financial Analyst

Biography:

Professor Liechtenstein holds a Ph.D. in Managerial Science and Applied Economics from The Economics School of Vienna, Austria, an MBA from IESE Business School, and a BSc in Business Economics from the University of Graz. He specializes in entrepreneurial finance, management of wealth, governance of entrepreneurial families and Impact Investing. He is co-author on several publications on private equity.

Professor Liechtenstein lectures in the MBAs and Executive Programs. As a consultant, he collaborates with leading families and financial institutions and serves on the board of family-controlled foundations.

Prior to his academic career, Professor Liechtenstein was engaged in LGT dealing with ultra-high net worth individuals. He also advised families within the Boston Consulting Group and established and sold two successful businesses.

Areas of interest:

- Entrepreneurial finance, private equity
- Impact Investing
- Owners/Investors strategy and family governance



David Frodsham

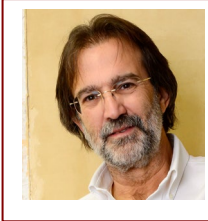
Lecturer in Entrepreneurship

MBA, INSEAD
BSc, King's College, University of London

Biography:

David Frodsham has a degree in Botany and Zoology from King's College London, University of London, and an MBA from INSEAD in France. David Frodsham has spent most of his career in leadership roles of technology companies, including Psion, DIP, Phoenix Technologies and Argogroup. He has also held multiple board positions in companies such as Insignia Solutions, Nativ, PressRun, Moravia, Wadaro, Confidex, Dr Canary and the CEO Collaborative Forum. He is currently the Managing Partner of Little Venice Partners, a corporate finance advisory firm. His specialities include fund raising, M&A, deal structuring and international growth strategies.

David has co-authored a book on entrepreneurial finance with Professor Liechtenstein, *Getting Between the Balance Sheets*, and his podcast *Venturing On* is published on LinkedIn and other social media platforms.



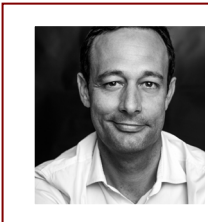
Luis Martín Cabiedes
Professor of Entrepreneurship

MBA, IESE, University of Navarra
Degree in Philosophy, Complutense University of Madrid

Biography:

Luis Martín Cabiedes has a degree in Philosophy from the Universidad Complutense de Madrid, an MBA from IESE, and is a financial analyst with a charter from CFA Institute. In 1989, he joined the Europa Press Group, where he was co-president for 12 years. In 1998, he started investing in early-stage tech startups. He first operated as a business angel and later, together with his brother and partner Jose Martin Cabiedes, created a venture capital fund (Cabiedes and Partners). Together they have invested in more than 160 Internet and tech startups and 140 Search Funds.

Luis Martín Cabiedes and his brother Jose are both lecturers at IESE, teaching "Entrepreneurship" and "Entrepreneurial Finance".



Mathieu Carenzo
Senior lecturer in Entrepreneurship.

MBA, IESE, University of Navarra
Masters in International Trade, ESSCA, France.

Biography:

Mathieu is an entrepreneur and Business Angel with current investments in Unicorns such as Glovo, scale-ups like Bizaway, Amphora or Trioteca and promising start-ups such as RobinGood, ModularDS, Twende. He is a member of the Investment committee of FINAVES, a founding partner of Venture Hub, a consulting firm supporting the scale of high growth start-ups and the development of entrepreneurial skills. Previously, he held General Partner roles in VC Funds based in Spain focusing on technology services companies operating in the B2B and B2B2C markets.

He currently teaches in the MBA and the GEMBA at IESE, and has experience teaching programs in 3 different languages (English, Spanish and French) and 4 continents.

Earlier, Mathieu worked in different positions in Europe and America mostly in corporate entrepreneur positions, including at Danone and AIRBUS helicopter.

His areas of interest are lean start-ups, scale-ups and early-stage equity financing.

Additional Information for Reporting and Accreditation purposes

Learning Goals & Learning Objectives

LG1: Entrepreneurial mindset

LO 3. Students will be able to turn an idea into a revenue-generating business, in various contexts: for example, in a corporate setting, family business, or start up.

LO 4. Students will be able to design the business model, gather resources, and communicate the new opportunity to stakeholders.

Competences

Basic

CB6. Possess and understand knowledge that provides a basis or opportunity to be original in the development and / or application of ideas, often in a research context.

CB7. The students know how to apply the knowledge acquired and their ability to solve problems in new or unfamiliar environments within broader (or multidisciplinary) contexts related to their area of study.

CB8. The students can integrate knowledge and face the complexity of formulating judgments based on information that, being incomplete or limited, includes reflections on social and ethical responsibilities linked to the application of their knowledge and judgments.

CB9. Students know how to communicate their conclusions and the knowledge and ultimate reasons that support them to specialized and non-specialized audiences in a clear and unambiguous way.

CB10. Students possess the learning skills that allow them to continue studying in a way that will be largely self-directed or autonomous.

General

CG5. Show entrepreneurial behavior, initiating and promoting the necessary changes with energy and personal responsibility.

CG6. Prioritize objectives, schedule activities appropriately, and execute them within the scheduled time.

CG7. Identify and deal effectively with information relevant to their work.

CG9. Know how to place the company in its international context and within the framework of globalization.

Specific

CE01. Apply a structured and rigorous process of analysis of business situations and decision making that incorporates the following phases: diagnosis of the problem, selection of criteria, identification of alternatives, weighted analysis, and identifying an alternative with its consequent action plan.

CE02. Prepare structured, synthetic, and clear executive reports for the analysis and decision-making of business situations.

CE03. Critically analyze and interpret the content of a company's balance sheet, income statement, and cash flow statement to diagnose problems and make decisions. Develop criteria to understand the limitations of financial information and its subjective nature.

CE04. Understand and apply judiciously quantitative tools to analyze and make decisions. Understand the assumptions implicit in the models and the limitations and risks of the models when putting them into practice.

CE05. Measure and become aware of the personal attitude towards risk and uncertainty. Learn methods to identify risk factors, evaluate them and study their impact on decisions. Perform sensitivity studies,

advanced simulations, and scenario analysis.

CE07. Apply the techniques and skills in handling situations with others, to effectively manage teams and resolve conflicts in multicultural environments.

CE10. Strengthen the leadership skills of teams and companies, starting with self-knowledge and understanding the different types of temperaments and their way of interacting. Know the state of the art of empirical research in this field.

CE18. Analyze markets and new business opportunities. Design rigorous, relevant, and effective market research. Understand with depth and put into practice the concepts of segmentation, targeting, and positioning.

CE22. Estimate the operational needs of funds and choose the most appropriate financial products for their financing: credit policies, factoring, confirming, terms of collection and payment with customers and suppliers, etc.

CE23. Optimize capital structures to maximize the value of the company and develop a critical sense to relativize estimates and identify risk and sensitivity factors.

CE24. Value projects, assets, and businesses using various models (discounted cash flows, multiples, real options, liquidation value, accounting methods) and understand their limitations and implicit assumptions.

CE25. Know how financial markets work and how financial products such as shares, bonds, and derivatives are valued.

Sustainable Development Goals (SDG)

SDG 3 – Good Health and Well-Being

SDG 4 – Quality Education

SDG 6 – Clean Water and Sanitation

SDG 7 – Affordable and Clean Energy

SDG 8 – Decent Work and Economic Growth

SDG 9 – Industry Innovation and Infrastructure

SDG 13 – Climate Action